

GREEN LOAN AGREEMENT

Sustainability-Linked Loan Facility Agreement

PARTIES

Lender: Global Sustainable Finance Bank (GSFB)

Borrower: TechCorp Industries Ltd.

Facility Amount: USD 250,000,000

Tenor: 5 Years (2023-2028)

Effective Date: January 1, 2023

Maturity Date: December 31, 2028

1. PURPOSE

This Green Loan Agreement is entered into for the purpose of financing environmentally sustainable projects and operations of the Borrower, in alignment with the Green Loan Principles (GLP) 2023 published by the Loan Market Association (LMA). The Borrower commits to deploying the proceeds towards eligible green projects including renewable energy installations, energy efficiency upgrades, and emissions reduction initiatives.

2. DEFINITIONS

2.1 'ESG KPIs' means the Environmental, Social, and Governance Key Performance Indicators as defined in Schedule A of this Agreement.

2.2 'Baseline Year' refers to the Financial Year 2023 (FY2023) against which all performance targets shall be measured.

2.3 'Reporting Period' means each Financial Year during the Tenor of this Agreement.

2.4 'Sustainability Report' means the annual ESG/Sustainability Report prepared by the Borrower in accordance with GRI Standards or SASB Standards.

2.5 'Scope 1 Emissions' means direct GHG emissions from owned or controlled sources.

2.6 'Scope 2 Emissions' means indirect GHG emissions from the generation of purchased energy consumed by the Borrower.

2.7 'Scope 3 Emissions' means all other indirect GHG emissions in the Borrower's value chain.

SCHEDULE A: ESG COVENANTS

3. ENVIRONMENTAL COVENANTS

Covenant 3.1: Scope 2 GHG Emissions Reduction

The Borrower shall achieve a reduction in Scope 2 Greenhouse Gas (GHG) emissions of at least 15% by the end of Financial Year 2026 (FY2026), measured against the FY2023 baseline of 45,000 tonnes CO₂ equivalent (tCO₂e). This translates to a maximum permissible Scope 2 emission level of 38,250 tCO₂e by FY2026. The Borrower shall report Scope 2 emissions annually using the market-based method in accordance with the GHG Protocol Corporate Standard.

Covenant 3.2: Renewable Energy Adoption

The Borrower shall ensure that renewable energy sources constitute at least 30% of total energy consumption by the end of FY2026. The baseline renewable energy share as of FY2023 is 18%. Eligible renewable energy sources include solar photovoltaic, wind power, hydroelectric power, and biomass energy. The Borrower may count purchased Renewable Energy Certificates (RECs) and Power Purchase Agreements (PPAs) towards this target.

Covenant 3.3: Energy Efficiency Improvement

The Borrower shall achieve a minimum 10% improvement in energy intensity (measured as MWh per million USD revenue) by FY2026, compared to the FY2023 baseline of 85 MWh per million USD revenue. The target energy intensity shall not exceed 76.5 MWh per million USD revenue by FY2026.

Covenant 3.4: Water Usage Reduction

The Borrower shall reduce total water withdrawal by at least 20% by FY2026, measured against the FY2023 baseline of 500,000 cubic meters (m³). The maximum permissible water withdrawal shall be 400,000 m³ by FY2026. Water recycling and rainwater harvesting volumes may be credited towards this target.

Covenant 3.5: Waste Diversion Rate

The Borrower shall achieve a waste diversion rate (waste diverted from landfill as a percentage of total waste generated) of at least 75% by FY2026. The FY2023 baseline waste diversion rate is 60%. Acceptable diversion methods include recycling, composting, and waste-to-energy conversion.

4. REPORTING REQUIREMENTS

4.1 The Borrower shall submit an annual Sustainability Report within 120 days of each Financial Year end.

4.2 The report shall follow GRI Standards (Core or Comprehensive option) or SASB Standards applicable to the Borrower's industry.

4.3 All ESG KPIs shall be reported with:

- (a) Current year values
- (b) Prior year comparative values
- (c) Baseline year values
- (d) Methodology and assumptions used

4.4 The Borrower shall obtain third-party limited assurance on material ESG KPIs from an independent verification body.

5. COMPLIANCE AND CONSEQUENCES

5.1 Failure to meet any ESG covenant shall constitute a Sustainability Event, triggering a review period of 90 days.

5.2 During the review period, the Borrower shall submit a corrective action plan.

5.3 If remediation is not achieved within the review period, the interest rate shall increase by 25 basis points per failed covenant, up to a maximum of 75 basis points.

5.4 Persistent non-compliance (two consecutive years of failure on the same covenant) may constitute an Event of Default under Section 8 of this Agreement.